

Fragrances.

Keep last year's shape. Apply this year's direction.

BASE = same month last year + 25% of its supply cuts – 50% of its positive DAs

FORECAST = BASE × (1 + 12-month trend of house × size)

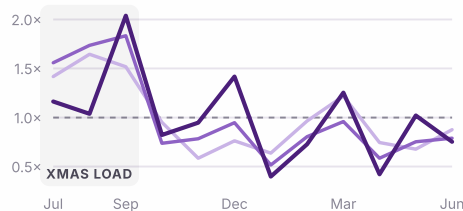
e.g. 1,000 shipped last October +50 cuts –50 DAs → base 1,000 × 0.90 (trend –10%) = 900

- **Trend** = last 12 closed months ÷ the 12 before – 1, on actual shipments only. Capped at ±30%.
- **In the trend**: every Central item, launches included once they have 6 months of shipments.
- **Size groups**: minis ≤15 ml · 20–40 · 45–60 · 75–125 · 150 ml+ / refills · ancillaries.
- **Each S&OP cycle**: average the rule with consensus, then scale what is left by actual ÷ forecast of the months just closed.

The year repeats itself

Monthly shipments ÷ the year's average

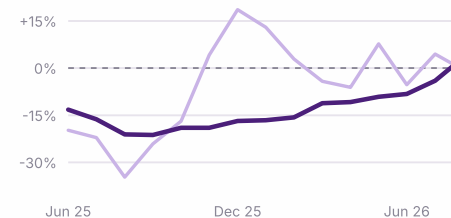
● FY24 ● FY25 ● FY26



12 months see the direction

Year-on-year change, rolling window

● 3-month window ● 12-month window



WHY EACH PIECE IS THERE

- 01 Last year's month as the base**
Fragrance repeats the same calendar every year: retailers load for Christmas from July to September. Last year's month already carries that shape.
- 02 A 12-month trend**
A 3-month window jumps with every supply cut or shifted order. Twelve months cover a full season, so what moves is the real direction.
- 03 Grouped by house × size**
One EAN's trend is noise: a big order or a delisting flips it. Similar products together give a stable signal, and sizes move differently.
- 04 Launches inside the trend**
New products partly replace old ones. Leaving them out shows only the decline of the old range.
- 05 Only 25% of the cuts**
A cut month understates demand, so some of it goes back. But retailers re-order weekly while an item is cut, so most of the figure is duplicated.
- 06 Remove 50% of the positive DAs**
Last year's promotions should not repeat by default. Only half, because part of the DAs are market inputs that do come back.
- 07 Blend with consensus, correct each cycle**
The rule leans conservative and consensus leans optimistic; together they balance. The actual ÷ forecast factor reacts within months, not a year.

Makeup.

No calendar to copy. Follow the current pace.

MONTH = shipments + min(10% of cuts ; 10% of shipments) – 25% of positive DAs

BASE = average of the last 6 adjusted months

FORECAST = BASE × (1 + ½ × 12-month trend of Face · Lips · Eyes)

SAME EVERY MONTH

e.g. 1,000 shipped +100 cuts (capped) –50 DAs → 1,050 a month × 0.90 (½ of –20%) = 945 every month

- **Category** = Face, Lips or Eyes within each brand family.
- **In the average:** every Central item (6+ months of shipments).
- **Trend** = last 12 closed months ÷ the 12 before – 1, actual shipments only. Apply half of it, capped at ±30%.
- **Each S&OP cycle:** recalculate the 6-month average and the trend. No correction factor, no consensus blend.

Shoppers are seasonal...

Sell-out (EPOS) ÷ year's average

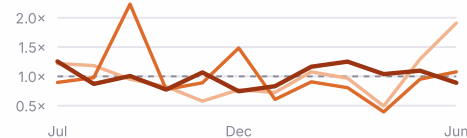
● FY25 ● FY26



...our shipments are not

Shipments ÷ year's average

● FY24 ● FY25 ● FY26



Cuts are inflated by re-ordering

Supply cuts as a share of shipments, FY26

Fragrances	21%	we count 25%
Gucci Make up	68%	we count 10%
Kylie Makeup	42%	we count 10%

WHY EACH PIECE IS THERE

- 01 No seasonality**
Shoppers do buy more in December, but our shipments follow launches, pipeline fills and order timing, not the calendar. Copying last year's month copies noise.
- 02 Average of the last 6 months**
It reflects the current selling pace and smooths one-off spikes, without chasing a single big order.
- 03 Same number for every month**
With no stable monthly shape, a flat run-rate is the honest call. Peaks and dips get corrected as months arrive.
- 04 Only half of the trend**
The 6-month average already holds part of the recent trend. The full trend on top would count it twice.
- 05 Only 10% of the cuts**
When an item is cut, retailers keep re-ordering the same quantity week after week. In makeup that re-ordering is far heavier, so the cuts are heavily inflated.
- 06 Only 25% of the DAs**
A six-month average already dilutes a single promotion. Removing more would cut growing lines too hard.
- 07 Recalculate, don't correct**
A rolling average refreshes itself with the latest months every cycle. An extra correction factor would add noise.